observed while commenting on a paper Keynes had sent him that he was sure that they had a lot to learn from him. He finished by saying: 'Your knowledge of both the practical official's standpoint and the economists' standpoint will enable you to say much more helpful things.'[12] Abraham was also to submit his own scheme for a 'State Bank' similar in some ways to the one Keynes would propose but rather than accept his recommendation, the Commission asked Keynes and another member, Sir Earnest Cable to prepare a detailed scheme for the establishment of a state or central bank even though this aspect had not been specifically mentioned in the Commission's terms of reference. This fact was evidence enough of the recognition that any discussion of the currency and exchange system in India could not be possible without addressing this issue. In his annexure[13] to the Chamberlain Commission's report, Keynes developed the first serious and comprehensive scheme for a central bank for India. He envisaged a combination of central and commercial banking functions on the lines of the Bank of France.

Keynes's bank envisaged amalgamation of the capital and reserves of the three Presidency Banks. He rejected the model of the Bank of England as unsuited to Indian conditions. In his scheme, the three existing Presidency Banks would form the head offices of a federal system over which a Central Board would preside at Delhi. Government subscription to the capital was not considered necessary. The main functions of the bank included the same functions as performed by the Presidency Banks: management of note issue and public debt, effecting remittances for the Secretary of State, and acceptance of payments. The management of the mint and custody of the Gold Standard Reserve were not entrusted to the bank which Keynes called the Imperial Bank of India. He also recommended a proportional reserve system of a flexible type for regulation of note issue. The bank was intended to do a rediscount business to the greatest extent possible. Thus Keynes's bank was to perform both commercial and central banking functions.[14]

The famous economist Alfred Marshall who read the report was entranced by Keynes's State Bank Memorandum as a prodigy of constructive work. He said, 'Verily we old men will have to hang ourselves, if young people can cut their way so straight and with such apparent ease through such great difficulties.'[15] Since the Chamberlain Commission